

shown that ESG-type (socially responsible) investing is a successful strategy, while others have shown that ESG is not a winning investment strategy. Regardless, investors and their advisors need to be aware that some clients may wish to invest in companies that reflect their social values and that this behavior has investment implications. Another implication of affinity bias is that some investors may wish to invest in things that convey status but that they know little about or that may involve risks, such as investing in hedge funds or other alternative investments that their social acquaintances are investing in, in order to demonstrate status or be part of an investment club—only to find that they made a bad decision by doing so. Finally, patriotic behavior may cause investors to have home country bias, which can limit the success of any portfolio, especially in the globally diverse world we now live in.

The box below summarizes affinity bias behaviors that can cause poor investment outcomes.

AFFINITY BIAS BEHAVIORS THAT CAN LEAD TO POOR INVESTMENT OUTCOMES

1. Investors subject to affinity bias can make investments in companies that make products or deliver services that they like but don't examine carefully enough the soundness of the investment characteristics of those companies.
2. Investors subject to affinity bias can invest in companies that reflect their ESG values but don't carefully examine the soundness of the investment characteristics of those companies.
3. Investors subject to affinity bias can invest in their home countries at the expense of investing in foreign countries due to home country bias.
4. Investors subject to affinity bias can sometimes invest in "sophisticated" investment products that convey status only to find they have invested in something they don't understand, which can be "hazardous to your wealth."

RESEARCH REVIEW

In an interesting twist on the subject of home equity bias, Evangelos Benos and Marek Jochec⁵ of the University of Illinois wrote a compelling paper entitled "Liberalism and Home Equity Bias," which found that countries